

Productivity programme in December 2023.

Several larger organisations have already started supporting MSMEs. “Our partnerships with companies like Pointo, 3Ev and Urja Mobility involve battery leasing models that are both economically viable and environmentally sustainable, benefiting all stakeholders,” says Pratik Kamdar, Co-founder and Chief Executive Officer of Neuron Energy, an MSME that makes batteries to power electric vehicles.

“In addition, some OEMs (original equipment manufacturers) are taking proactive steps by sharing audit templates, reporting tools, and training resources to help MSMEs meet ESG compliance requirements,” Kamdar added.

CHALLENGES IN ESG IMPLEMENTATION

Even so, awareness of ESG among MSMEs is limited and implementation of the guidelines remains a significant challenge.

MSMEs are not yet mandated to comply with ESG regulations, and are confused about which standards to follow, how to prepare disclosures and what timelines to meet, says the SIDBI survey. Data collection and digital technology are other limitations.

“Data is very fragmented as industries have many facilities and there has to be a process in place to capture data and consolidate it in a systematic way,” says Akash Keshav, Co-founder and CEO of Sprih, an ESG consulting firm with over 20 MSME clients. “Also, digital tools and monitoring systems essential for tracking ESG metrics aren’t so affordable or accessible for many MSMEs.”

Limited finances and resources to implement ESG standards have

THE GREEN SHIFT

1 Per a SIDBI survey, a third of the 2,097 MSMEs across 19 sectors have implemented some forms of sustainable practices

2 31% have switched to energy-efficient lighting and machinery and 21% have adopted renewable energy sources

3 The share of MSMEs in the country’s GVA has increased from 27.3% in FY21 to 30.1% in FY23

4 MSMEs accounted for around 46% of India’s exports in FY25

already put pressure on MSMEs in export-dependent industries like textiles and pharmaceuticals, whose customers in the US and UK, for instance, lay great store by such norms, says R. Sakthivel, founder & CEO of textile maker Daffodil and a member of the board of Tiruppur Exporters’ Association. “It’s very difficult, as unlike big companies, we don’t have an ESG set-up and, hence, our margins have also been suffering due to this,” Sakthivel says.

THE WAY AHEAD

Sure, some policy changes can help MSMEs in the transition towards full implementation of ESG standards. These include simplified ESG reporting standards that focus on material indicators tailored specifically to MSMEs.

The effort can begin with leveraging affordable digital solutions and centralised, user-friendly platforms that automate ESG data tracking, reporting, and self-certification that minimise manual work, says Kumar of the India SME Forum. Encouraging group reporting or a cluster-based approach can also reduce individual costs.

Additionally, allowing MSMEs to begin with self-assessments or third-party evaluations rather than filing expensive full audits can significantly lower verification costs without compromising data credibility, Kumar adds.

Siddharth Manchanda, Partner at IndusLaw, suggests a sectoral classification of ESG norms given that MSMEs cut across industries. Sebi can work with other regulators to prescribe compliance parameters for different industries.

If India can empower its MSMEs, there’s a big opportunity awaiting it. “As global supply chains get reconfigured because of ongoing geopolitical shifts, India has a unique opportunity to move away from the traditional sources of competitive advantage—low labour and input costs—by focusing on green manufacturing,” says Namrata Rana, Partner, National Head ESG, KPMG. This needs a value chain focus that encompasses not just the top companies, but their extended supply chain consisting of hundreds of MSMEs. **BT**

@Riddhima76